Saving up

Of course, it's sensible to keep your spending within your income. But some things are a major expense, and may well cost more than you have in the bank. They may be things, such as a car or a vacation abroad, that you can delay buying until you've saved enough money, but there may be other things that you need more urgently, like a repair, or that would take a very long time to save for. One way of paying for them is to borrow the money.

Home, sweet home

Young people in particular often face large expenses before they have started to earn any money. Many of them take on student loans, for example, to pay for their studies, which they can pay back once they have jobs. Others may borrow money to cover the costs of starting a business—making repayments as the business grows. But for most people, the biggest purchase they are likely to make is buying a place to live, and very few would be able to do this without borrowing money. A loan to buy a house or apartment is called a mortgage, and the bank will usually charge less for it than other kinds of borrowing, since the property is used as security. If you don't repay the loan, the bank can take your home away from you.

A matter of great interest

The advantage of borrowing money is that you can have the things that you need or want right away, but spread the cost over a set period of time by making regular repayments. The major disadvantage of borrowing is that the lender, usually a bank, will charge you interest on the loan. This means that you end up paying back more money than you originally borrowed. And it could even be more than double the amount. This is because a loan is normally repaid over several years, and the interest rate is per annum (meaning per year, and often abbreviated to "pa"). The lender charges interest not just on the original amount of the loan, but each year on the total amount that's still owed, plus any interest on top of that. In addition to loans for major purchases such as a house, banks offer other ways of borrowing money. For